TALLY PRIME – MANUFACTURING COMPANY PRACTICE SCENARIO

ABC Engineering Works Pvt. Ltd.

ABC Engineering Works Pvt. Ltd. is a small manufacturing company based in Mumbai, Maharashtra. The company manufactures industrial metal brackets used in machinery and sells them to engineering and machinery companies.

Learning Objective

To learn how to create a company in Tally Prime and record complete accounting data including ledgers, GST, inventory, purchases, sales, manufacturing, receipts, payments, expenses, stock movements, Trial Balance, Profit & Loss Account and Balance Sheet.

1. Company Creation Details

Company Name	ABC Engineering Works Pvt. Ltd.
Address	Mumbai, Maharashtra
Financial Year	1 April 2026 – 31 March 2027
Books Beginning From	1 April 2026
Nature of Business	Manufacturing and Sale of Industrial Metal Brackets
GST Registration State	Maharashtra
GSTIN	27ABCDE1234F1Z5 (Dummy for practice)

2. Finished Goods

Product	Unit	Selling Price
MS Metal Bracket – Small	Nos	₹250
MS Metal Bracket – Large	Nos	₹450

3. Raw Materials

Raw Material	Unit	Purchase Rate
MS Steel Sheet	Kg	₹80
Welding Rod	Kg	₹180
Paint	Litre	₹220
Packing Material	Nos	₹15

4. Opening Balances – 1 April 2026

Ledger	Debit	Credit
Cash	₹50,000	
HDFC Bank	₹2,50,000	
Machinery	₹8,00,000	
Furniture	₹1,00,000	
Opening Stock – MS Steel Sheet	₹1,20,000	
Opening Stock – Welding Rod	₹20,000	
Opening Stock – Paint	₹22,000	
Capital Account		₹11,62,000
Total	₹13,62,000	₹13,62,000

5. April 2026 Transactions

01-Apr-2026 – Purchased 1,000 Kg MS Steel Sheet @ ■80/Kg + 18% GST from Maharashtra Steel Traders on credit.

03-Apr-2026 – Purchased 100 Kg Welding Rod @ ■180/Kg + 18% GST from Metro Industrial Supplies on credit.

05-Apr-2026 – Purchased 100 Litres Paint @ ■220/Litre + 18% GST from ColorChem Industries on credit.

07-Apr-2026 – Purchased 500 Nos Packing Material @ ■15 + 18% GST from PackRight Industries on credit.

10-Apr-2026 – Purchased machinery for ■2,00,000 + 18% GST from Modern Machine Tools; paid through bank.

12-Apr-2026 – Paid factory electricity ■25,000 + 18% GST through bank.

15-Apr-2026 – Manufactured 500 Small Metal Brackets and 300 Large Metal Brackets. Record the consumption of raw materials and production through Stock Journal/Manufacturing Journal.

18-Apr-2026 – Sold 200 Small Metal Brackets @ ■250 each + 18% GST to XYZ Engineering Ltd. on credit.

20-Apr-2026 – Sold 100 Large Metal Brackets @ ■450 each + 18% GST to PQR Machinery Pvt. Ltd. on credit.

22-Apr-2026 – Purchased additional 500 Kg MS Steel Sheet @ ■82/Kg + 18% GST from Maharashtra Steel Traders on credit.

24-Apr-2026 – Sold 150 Small Metal Brackets @ ■250 each + 18% GST to LMN Industries for cash/bank.

26-Apr-2026 – Paid ■50,000 to Maharashtra Steel Traders through bank.

28-Apr-2026 – Received ■40,000 from XYZ Engineering Ltd. through bank.

30-Apr-2026 – Paid factory wages ■45,000 through bank.

6. Suggested Ledgers to Create in Tally

Capital Account; Cash; HDFC Bank; Machinery; Furniture; Maharashtra Steel Traders; Metro Industrial Supplies; ColorChem Industries; PackRight Industries; Modern Machine Tools; XYZ Engineering Ltd.; PQR Machinery Pvt. Ltd.; LMN Industries; Factory Electricity; Factory Wages; Purchase Accounts; Sales Accounts; CGST Input; SGST Input; CGST Output; SGST Output.

7. Suggested Tally Practice Flow

Create Company → Enable GST → Create Groups/Ledgers → Create Units → Create Stock Groups → Create Stock Items → Enter Opening Balances → Record Purchase Vouchers → Record Payment for Machinery/Expenses → Record Manufacturing/Stock Journal → Record Sales Vouchers → Record Receipt → Record Supplier Payment → Verify Stock Summary → GST Summary → Trial Balance → Profit & Loss → Balance Sheet.

8. Expected Learning Outcome

After completing this case, you should be able to independently create a manufacturing company in Tally Prime and record its accounting, inventory, GST and manufacturing transactions from opening balances through monthly financial reports.

Note: All company names, GSTINs and transaction details in this case are fictitious and created only for accounting/Tally training purposes.